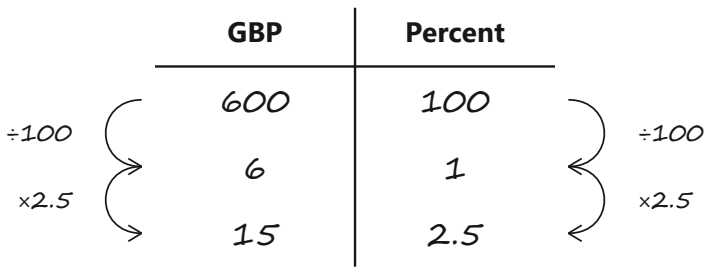
15 Remi invests £600 for 5 years in a savings account.
By the end of the 5 years he has received a total of £75 simple interest.

Work out the annual rate of simple interest.

Interest each year = £75 ÷ 5 = £15

1 mark
Annual simple interest



1 mark
Compare £15 with the original £600 principal

1 mark
Annual rate = 2.5%

2.5 %

(Total for Question 15 is 3 marks)